

scheduled to go to polls.

Currently, the Centre spends about 0.75% of GDP on pensions, with the outlay moderating in recent years. State governments saw a sharp rise in the pension burden to almost 1.9% of GDP in FY21, and in the past few years, it has remained between 1.7% and 1.8% of the GDP. The Reserve Bank of India has warned of the perils of states adopting the OPS, the Nomura note pointed out.

A Macquarie report, however, said that while this scheme is not a complete

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reversal to the OPS, it will still drain the exchequer. “Most states are already on NPS (close to 25) and there is pressure to shift now to the new UPS scheme which will further burden states’ fiscal deficit,” it cautioned, adding, the fiscal deficit of the states is already above the 3% target set by the central government at 3.2%, and this scheme could make matters worse. Macquarie also highlighted that populism seems to be the emerging narrative to win elections, and that is a worrying sign. This could keep India stuck in a ‘middle-income trap’.

The UPS aims to provide a more secure retirement outcome for the Centre’s own employees. For now, its influence on voters in the short term will be closely watched. **BT**

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PAYTM

Fresh Ordeal

Paytm is back in the news. This time, Sebi has issued a fresh show-cause notice on Esops given to its Founder and CEO Vijay Shekhar Sharma

BY ANAND ADHIKARI

► **BELEAGUERED ONE97** Communications, which runs fintech major Paytm, is under the regulatory scanner yet again. This time, for issuing employee stock option plans (Esops) to its Founder and CEO Vijay Shekhar Sharma, who does not fall under the promoter classification. The company has received a show-cause notice from the markets regulator, the Securities and Exchange Board of India (Sebi).

The issue dates back to FY22, when the company granted 21 million Esops to Sharma prior to the initial public offering (IPO), with the intention of vesting them equally over the next five years. The scrutiny now centres on Sharma’s classification as a public shareholder, considering his role and influence within the company. This is critical because Sebi’s regulations strictly forbid promoters from receiving Esops. The company has stated that it is in compliance with the relevant regulations in its response to Sebi’s notice. “There is no impact on the financial results,” it claimed, referring to the ‘issue’ as an old one.

The crux of the matter revolves around Sharma being classified as a public shareholder rather than a promoter in Paytm’s IPO documents filed in November 2021. According to its offer document, Paytm stated that it is a professionally managed company with no identifiable promoter. Under regu-

lations, an identifiable promoter is an individual or entity that has control over the company and is responsible for its management. It is mandatory for promoters to contribute a minimum of 20% of the post-issue capital in an IPO. This requirement ensures that they hold a substantial stake in the company, which helps align their interests with those of other shareholders. Sebi has been insisting that large shareholders, especially in IPOs of

FOUNDER & CEO VIJAY SHEKHAR SHARMA DIRECTLY AND INDIRECTLY HOLDS 24.3% STAKE IN PAYTM

professionally-run start-ups, classify themselves as promoters if they hold more than 10% stake.

Gaurav Sahay, Practice Head (General Corporate & Technology), Fox Mandal & Associates, a full-service law firm, says that the distinction between control—typically understood as the ability to influence key decisions and often linked to ownership or voting power—and promoter in the law is somewhat ambiguous. This can have big effects on compliance, transparency, and stakeholder